

Cindergrove Advisors Inc

www.cindergroveadvisors.com

July 17, 2003

Cindergrove Advisors Inc

Ms. Heather King, VP Finance, Wagner-Greene

Re: Plant Consolidation Support

Dear Ms. King:

Thank you for the courtesy shown to our firm during our recent visits. This letter confirms the terms under which Cindergrove Advisors Inc will assist Wagner-Greene with the consolidation of its plant operations. I would ask that you review it and return a countersigned copy by fax at your convenience.

Our work will cover the operations of both Wagner-Greene plants. We will review production scheduling, inventory positions, freight arrangements, and staffing at each location, and we will develop a consolidation plan setting out the sequence of moves, the workforce implications, and the expected effect on cost and service. Our practice is to present findings before recommendations, and to support every recommendation with figures drawn from your own records rather than from industry generalities. We expect the work to run approximately four months from the start of fieldwork to the delivery of the final plan.

Kimberly Price, Senior Consultant, will direct the engagement and will be your principal point of contact throughout. Andrea Diaz, Consultant, will carry out the on-site observation and data collection at both plants. I will review all written work before it is issued under the firm's letterhead and will attend the steering meetings personally.

Our fee for this engagement will be \$110,000, covering all professional time. Travel and out-of-pocket expenses will be billed as incurred, at cost and without markup, with receipts furnished on request. Subject to your countersignature, we propose to begin fieldwork on July 27, 2003.

We appreciate the confidence Wagner-Greene has placed in our firm, and we will conduct this work with the care it deserves. If any term of this letter does not reflect your understanding, please telephone me before signing. Very truly yours,

Carlos Griffith

President

Date: July 17, 2003

Heather King

VP Finance, Wagner-Greene

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